

Appearances Can Be Deceiving

The first thing to understand about credit is that it is not your money. If you look at your credit cards as an extension of your salary, you may be setting yourself up for more debt than you can handle. Credit allows you to purchase things that you cannot afford and consequently live beyond your means. As long as the merchants accept your credit cards, you can keep buying. But if the merchant required you to pay cash, would you still have made your purchases?

To observe Chuck you would assume he was wealthy. He definitely looked and acted the part. Chuck drove a luxury car, had a Beverly Hills address, always wore designer suits, ate out frequently at expensive restaurants, and regularly went on weekend excursions. But the reality was a well-kept secret.

Chuck grew up in a very poor family. There was never enough food, clothes, or money for routine bills. There was never money for traveling, entertainment, or nonessential purchases. Chuck's goal was to escape a life of deprivation.

By the age of twenty-four, he had spent two years working hard as an investment broker and saved virtually all of his money. He now had enough money to leave his neighborhood. He moved to the one place that was synonymous with wealth, Beverly Hills. Chuck was able to rent a small apartment with a fancy address. But he soon wanted more. He wanted the cars his neighbors drove, the clothes they wore, and the vacations they went on. Chuck's answer arrived one day in the form of a credit card application in the mail.

With this newfound source of money, he was able to buy the things he coveted. Chuck used this new tool in earnest. It was the answer to his desires and only required a small payment each month. Over time, this small payment became larger, and Chuck had trouble making even the minimum payment. Eventually, he had reached the limit on all of his credit cards and couldn't qualify for any more, although he kept trying.

